

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS

FOR THE YEAR ENDED MARCH 31, 2023

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 31 MARCH 2023

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter ended 31 March	COMPANY AND INVESTEE		COMPANY	
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
Revenue	2,791,800	4,125,702	2,791,800	4,125,702
Cost of sales	(2,055,741)	(3,105,665)	(2,055,741)	(3,105,665)
Gross profit	736,059	1,020,037	736,059	1,020,037
Other income	613,711	4,843	613,711	4,843
Change in fair value of investment property	32,000	39,500	32,000	39,500
Distribution expenses	(176,844)	(103,511)	(176,844)	(103,511)
Administrative expenses	(109,745)	(144,087)	(109,745)	(144,087)
Profit from operations	1,095,181	816,781	1,095,181	816,781
Finance income	119,548	301,422	119,548	301,422
Finance expenses	(385,480)	(15,072)	(385,480)	(15,072)
Net finance income/(expenses)	(265,932)	286,350	(265,932)	286,350
Share of (loss)/profit on equity accounted investee, net of tax	(672)	3,503	-	-
Profit before tax	828,576	1,106,634	829,248	1,103,131
Income tax expense	(108,843)	(196,713)	(108,843)	(196,713)
Profit for the quarter	719,733	909,921	720,405	906,418
Other comprehensive income				
Actuarial (loss)/gain on defined benefit obligations	-	43,383	-	43,383
Related tax	-	(8,286)	-	(8,286)
Other comprehensive income , net of tax	-	35,097	-	35,097
Total comprehensive income for the quarter	719,733	945,017	720,405	941,514
Earnings per share -Rs.	33.02	41.74	33.05	41.58
Market value per share				
Highest price-Rs.			290.00	772.00
Lowest price-Rs.			202.25	250.00
Last traded price-Rs.			268.75	290.75
Number of shares representing the stated capital			21,800,000	21,800,000

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STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the year ended 31 March	COMPANY AND INVESTEE		COMPANY	
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
Revenue	11,521,798	15,115,383	11,521,798	15,115,383
Cost of sales	(8,038,700)	(11,858,251)	(8,038,700)	(11,858,251)
Gross profit	3,483,099	3,257,133	3,483,099	3,257,133
Other income	649,629	19,816	649,629	19,816
Change in fair value of investment property	32,000	39,500	32,000	39,500
Distribution expenses	(625,763)	(472,735)	(625,763)	(472,735)
Administrative expenses	(401,869)	(427,405)	(401,869)	(427,405)
Profit from operations	3,137,095	2,416,308	3,137,095	2,416,308
Finance income	420,800	267,528	420,800	267,528
Finance expenses	(54,066)	(85,908)	(54,066)	(85,908)
Net finance income/(expenses)	366,734	181,621	366,734	181,621
Share of loss on equity accounted investee, net of tax	(2,502)	1,678	-	-
Profit before tax	3,501,328	2,599,606	3,503,830	2,597,928
Income tax expense	(665,466)	(465,772)	(665,466)	(465,772)
Profit for the period	2,835,862	2,133,834	2,838,363	2,132,157
Other comprehensive income				
Items that will not be reclassified to profit or loss				
Actuarial (loss)/gain on defined benefit obligations	-	43,383	-	43,383
Related tax	-	(8,286)	-	(8,286)
Other comprehensive income, net of tax	-	35,097	-	35,097
Total comprehensive income for the period	2,835,862	2,168,931	2,838,363	2,167,253
Earnings per share -Rs.	130.09	97.88	130.20	97.81
Market value per share				
Highest price-Rs.			458.00	772.00
Lowest price-Rs.			98.10	110.25
Last traded price-Rs.			268.75	290.75
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 31 March	As at 31 March	As at 31 March	As at 31 March
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,158,261	1,155,168	1,158,261	1,155,168
Investment property	722,000	690,000	722,000	690,000
Right-of-use assets	2,232	3,125	2,232	3,125
Investment in equity accounted investee	72,631	75,133	51,200	51,200
	1,955,125	1,923,426	1,933,694	1,899,493
CURRENT ASSETS				
Inventories	2,761,597	2,340,192	2,761,597	2,340,192
Trade and other receivables	1,029,871	2,057,136	1,029,871	2,057,136
Amount due from related companies	664,550	547,202	664,550	547,202
Value added tax recoverable	782,067	747,211	782,067	747,211
Deposits and prepayments	22,657	23,078	22,657	23,078
Investment in fixed deposits	2,655,934	1,336,800	2,655,934	1,336,800
Cash and cash equivalents	1,518,485	2,529,130	1,518,485	2,529,130
	9,435,162	9,580,750	9,435,162	9,580,750
TOTAL ASSETS	11,390,286	11,504,176	11,368,855	11,480,243
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000	218,000	218,000	218,000
Capital reserves	592,491	592,491	522,620	522,620
General reserves	431,136	431,136	431,136	431,136
Retained earnings	8,173,189	5,479,027	8,221,628	5,524,965
	9,414,816	6,720,654	9,393,385	6,696,721
NON-CURRENT LIABILITIES				
Employee benefits	145,065	122,807	145,065	122,807
Deferred taxation	88,829	45,834	88,829	45,834
Interest bearing borrowings	83,821	239,275	83,821	239,275
	317,716	407,916	317,716	407,916
CURRENT LIABILITIES				
Trade and other payables	307,351	3,005,972	307,351	3,005,972
Amount due to related companies	300,212	511,344	300,212	511,344
Current tax payables	818,814	660,744	818,814	660,744
Unclaimed dividends	16,051	12,301	16,051	12,301
Interest bearing borrowings	155,826	157,983	155,826	157,983
Bank overdrafts	59,501	27,261	59,501	27,261
	1,657,755	4,375,606	1,657,755	4,375,606
TOTAL LIABILITIES	1,975,471	4,783,522	1,975,471	4,783,522
TOTAL EQUITY AND LIABILITIES	11,390,286	11,504,176	11,368,855	11,480,243
Net asset per share (Rs.)	431.87	308.29	430.89	307.19

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd.)

Ms. Hemamala Karunasekara
Chief Financial Officer

(Sgd.)

Mahinda Saranapala
Director/Chief Executive Officer

(Sgd.)

U. G. Madanayake
Chairman

May 22, 2023
Colombo

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2021	218,000	592,491	431,136	3,408,196	4,649,823
Comprehensive income for the period					
Profit for the period				2,133,834	2,133,834
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	2,133,834	2,133,834
Transactions with owners of the Company					
Interim dividend	-	-	-	(98,100)	(98,100)
Balance as at 31 March 2022	218,000	592,491	431,136	5,443,930	6,685,557
Balance as at 1 April 2022	218,000	592,491	431,136	5,479,027	6,720,654
Comprehensive income for the period					
Profit for the period	-	-	-	2,835,862	2,835,862
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	2,835,862	2,835,862
Transactions with owners of the Company					
Interim Dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 March 2023	218,000	592,491	431,136	8,173,189	9,414,816

COMPANY

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2021	218,000	522,620	431,136	3,455,812	4,627,568
Comprehensive income for the period					
Profit for the period				2,132,157	2,132,157
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	2,132,157	2,132,157
Transactions with owners of the Company					
Interim dividend	-	-	-	(98,100)	(98,100)
Balance as at 31 March 2022	218,000	522,620	431,136	5,489,868	6,661,625
Balance as at 1 April 2022	218,000	522,620	431,136	5,524,965	6,696,721
Comprehensive income for the period					
Profit for the period	-	-	-	2,838,363	2,838,363
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	2,838,363	2,838,363
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 March 2023	218,000	522,620	431,136	8,221,628	9,393,385

STATEMENT OF CASH FLOWS

For the year ended 31 March	COMPANY & INVESTEE		COMPANY	
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
Cash flow from operating activities				
Profit before tax	3,501,328	2,599,606	3,503,830	2,597,928
Adjustments for:				
Share of loss from equity accounted investee (net of tax)	2,502	(1,678)	-	-
Interest income	(443,861)	(75,738)	(443,861)	(75,738)
Interest expense	54,066	85,908	54,066	85,908
Changes in fair value of investment property	(32,000)	(39,500)	(32,000)	(39,500)
Depreciation of property, plant and equipment	102,265	92,840	102,265	92,840
Amortization of Intangible assets	-	6,825	-	6,825
Amortization of right-of-use assets	893	893	893	893
Provision/(reversal) for impairment of trade & other receivables	-	(45,850)	-	(45,850)
Provision for obsolete and slow moving inventories	13,672	63,244	13,672	63,244
Unrealized exchange loss/(gain) on investment in fixed deposits	285,664	(411,804)	285,664	(411,804)
Gain on disposal of property, plant and equipment	(12,946)	-	(12,946)	-
Gain on disposal of investment made in overseas	(609,754)	-	(609,754)	-
Inventory Write off	3,006	29,189	3,006	29,189
Debtors write off	228	-	228	-
Provision for employee benefits	29,254	12,280	29,254	12,280
Operating profit before working capital changes	2,894,316	2,316,215	2,894,316	2,316,215
Changes in working capital				
(Increase)/decrease in inventories	(438,083)	(204,652)	(438,083)	(204,652)
Decrease in trade and other receivables	1,636,791	969,909	1,636,791	969,909
Increase in amount due from related companies	(141,662)	(46,978)	(141,662)	(46,978)
Increase in deposits and prepayments and value added tax recoverable	(34,435)	(11,257)	(34,435)	(11,257)
Decrease in trade and other payables	(2,698,621)	1,045,244	(2,698,621)	1,045,244
Decrease in amount due to related parties	(211,132)	(89,292)	(211,132)	(89,292)
Cash generated from operations	1,007,173	3,979,189	1,007,173	3,979,189
Gratuity paid	(6,996)	(6,832)	(6,996)	(6,832)
Current tax paid	(507,397)	(115,508)	(507,397)	(115,508)
Interest paid	(54,066)	(85,344)	(54,066)	(85,344)
Net cash generated from/(used in) operating activities	438,715	3,771,505	438,715	3,771,505
Cash flow from investing activities				
Short term loans given to related parties	(300,000)	(500,000)	(300,000)	(500,000)
Short term loans repaid by related parties	324,314	-	324,314	-
Proceeds from disposal of property, plant and equipment	12,946	-	12,946	-
Acquisition of property, plant and equipment	(105,358)	(239,002)	(105,358)	(239,002)
Investment in fixed deposits	(1,604,798)	(910,620)	(1,604,798)	(910,620)
Interest received	443,861	61,362	443,861	61,362
Net cash used in investing activities	(1,229,034)	(1,588,260)	(1,229,034)	(1,588,260)
Cash flow from financing activities				
Dividend paid	(137,950)	(103,011)	(137,950)	(103,011)
Lease payments	(815)	(1,229)	(815)	(1,229)
Loans obtained during the period	-	1,971,741	-	1,971,741
Loans repayments during the period	(156,796)	(2,382,799)	(156,796)	(2,382,799)
Net Cash used in financing activities	(295,561)	(515,298)	(295,561)	(515,298)
Net increase/(decrease) in cash and cash equivalents	(1,085,880)	1,667,947	(1,085,880)	1,667,947
Cash and cash equivalents at beginning of the period	2,501,869	833,922	2,501,869	833,922
Cash and cash equivalents at the end of the period	1,415,989	2,501,869	1,415,989	2,501,869

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31 March 2022 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- The contingent liability as at 31 March 2023 on guarantees given to third parties amounted to Rs.249,443,992/-.
- The Board of Directors declared an Interim Dividend of Rs.6/50 per share for the year ended 31 March 2022 amounting to Rs. 141.7 Mn. on August 4, 2022 which was paid on 04 September 2022.
- Other income includes a gain of Rs. 609.7Mn arising from disposal of investment made in oversease.
- Inland Revenue (Amendment) Act No 45 of 2022 was certified by the Speaker on 19th December 2022 and is implemented from 1st October 2022. The Deferred tax charge has been provided based on the new tax rates specified in the Amendment Act and the cumulative impact of the tax rate changes has been adjusted during the year ended 31st March 2023 as per LKAS 12.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 31 March 2023		As at 31 March 2022	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200		56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000		61,000	0.28%
Mrs. N. C. Madanayake	- Director	-		-	
Dr. Bandula Perera	- Director	-		-	
Mr. Mahinda Saranapala	- Director/CEO	-		-	
Mr. Deepal Sooriyaarachchi	- Director	-		-	

10. Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 31 March 2023	4,399,696	20.2%	2763

Float adjusted market capitalization (Rs.)

1,182,418,300

Company complies the requirement of Listing Rules of 7.14.1 -Minimum Public Holding as a Continuous Listing Requirement under the option No. 05 of 7.14.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public Shareholders
Option -5	Less than Rs.2.5Bn	20%	500

11. 20 Largest Shareholders of the Company as at 31 March 2023 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 Bank of Ceylon-No 2 A/C (BOC PTF)	117,918	0.54%
4 Employees Trust Fund Board	116,285	0.53%
5 Peoples Leasing & Finance PLC/Mr. Iresh Sridas	104,700	0.48%
6 Thaha I. M.	103,500	0.47%
7 Ceylinco Shiram Capital Management Services	76,600	0.35%
8 Wijaya P. Ramesh P.	76,342	0.35%
9 Saraswathi V. and Vasudevan S.	63,944	0.29%
10 DFCC Bank PLC A/C No. 02	62,550	0.29%
11 Goonesekera C. D. M. (Mrs.)	62,500	0.29%
12 Madanayake H. A. S.	61,000	0.28%
13 Madanayake U. G.	56,200	0.26%
14 Leonard D. S.	41,203	0.19%
15 Mayakaduwege J. K.	40,959	0.19%
16 Kannangara N. L. & De Livera S.S.	40,000	0.18%
17 Seylan Bank PLC/Priyantha Pushpakumara	35,844	0.16%
18 Sumathipala U. W. J. P. A.	35,200	0.16%
19 Samarakkody S. A. B. B. N.	31,248	0.14%
20 Gunaratne H. H.(Deceased)	31,248	0.14%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability Incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicables.com Website : www.kelanicables.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mrs. N. C. Madanayake Dr. Bandula Perera Mr. Mahinda Saranapala Mr. Deepal Sooriyaarachchi
Company secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC Seylan Bank PLC